DIRECTORS' REPORT

Dear Shareholders,

Your Directors take pleasure in presenting the Thirteenth Annual Report along with the Audited Accounts for the financial year ended March 31, 2008.

(1) FINANCIAL RESULTS :

The highlights of the financial results of your Company for the financial year ended March 31, 2008, are as under:

(Rs. in Lakhs)

Particulars	For the year ended 31.03.2008	*For the year ended 31.03.2007*
Gross Income	**60,606.19**	*27,537.59*
Profit Before Tax	**16,135.20**	*7,722.06*
Provision for Tax & Fringe Benefit Tax	**4,633.80**	*1,460.61*
Profit After Tax	**11,501.40**	*6,261.45*
Add : Balance brought forward from previous years	**1,800.80**	*399.35*
Profit available for appropriation	**13,302.20**	*6,660.80*
Appropriations :		
Transfer to Special Reserve u/s 45-IC of Reserve Bank of India Act, 1934	**2,310.00**	*1,260.00*
Transfer to General Reserve	–	*3,600.00*
Surplus carried forward to Balance Sheet	**10,992.20**	*1,800.80*

(2) APPROPRIATIONS

Your Company proposes to transfer Rs. 2,310.00 lakh (*Previous Year : Rs. 1,260.00 lakh*) to Special Reserve created u/s 45-IC of Reserve Bank of India Act, 1934 and retain Rs. 10,992.19 lakh (*Previous Year : Rs. 1,800.80 lakh)* in the Profit and Loss Account of the Company.

(3) DIVIDEND

Your Directors have considered it financially prudent in the long-term interests of the Company to reinvest the profits into the business of the Company to build a strong reserve base and grow the business of the Company. No dividend has therefore been recommended for the financial year ended March 31, 2008.

(4) CAPITAL EXPENDITURE

During the year under review, the Company had incurred capital expenditure to the extent of Rs. 10,480.41 lakh towards purchase of plant & machinery, furniture & fixtures, motor car, vehicles, computers and specialised software.

(5) REVIEW OF OPERATIONS & FUTURE OUTLOOK

The last twelve months witnessed strong growth in the income, profits and assets. Excellent growth in GDP and improved corporate performance has spurred business growth for the company during the period.

Your Company registered significant growth in disbursements across all its business segments which has contributed substantial increase in the profits of the Company and with the continuing upswing in the financial sector, the plans and resources of the Company were put well in place to benefit from the opportunity. Your Directors believe that the Company can continue its growth trajectory and increase its profitability.

(6) RESOURCES

During the year under review, Larsen & Toubro Limited (L&T), the holding company, has additionally subscribed to 625 lakh Equity Shares of Rs. 10 each, for cash at a premium of Rs. 30 per share, aggregating to Rs. 25,000 lakh. This resulted in increase of paid-up equity share capital and share premium of the Company by Rs. 6,250 lakh and Rs. 18,750 lakh, respectively.

The Company had borrowed on different instruments from various sources for varying tenors. The total debt raised and repaid during the year were Rs. 14,29,366 lakh and Rs. 12,79,098 lakh, respectively. The quantum of long-term loans raised during the year was Rs. 2,14,866 lakh.

(7) LISTING OF DEBT

The Secured, Redeemable, Non-Convertible Debentures for an aggregate amount of Rs. 61,000 lakh, issued by the Company in various tranches (Series A-G of FY 2007-08), on private placement basis, are listed on the Wholesale Debt Market (WDM) Segment of National Stock Exchange of India Limited (NSE).

Further, the Unsecured, Redeemable, Non-Convertible Subordinated Debt (Tier-II Capital) in the form of Debentures (Series 'H' of FY 2007-08) for an amount of Rs. 7,500 lakh, issued by the Company on private placement basis, are listed on the WDM Segment of NSE.

The Company has complied with all the requirements as prescribed in the Debt Listing Agreement entered into with NSE, as applicable to it.

(8) FIXED DEPOSITS

During the year, the Company has not accepted any public deposits. Your Company had stopped accepting any fresh deposits as well as renewal of existing public deposits. There were 111 deposits totalling Rs. 10.85 lakh, which were due for repayment and unclaimed by the depositors. Regular intimations/reminders were sent to the depositors in respect of unclaimed deposits.

(9) CORPORATE GOVERNANCE

The Board of Directors believes that good corporate governance practices should be enshrined in all the activities of the Company. The objective is to institutionalise corporate governance practices that go beyond adherence to the extant regulatory framework. The Company will continue to focus its resources, strengths and strategies to achieve its vision, while upholding the core values of transparency, integrity, honesty and accountability. The Company has a strong legacy of fair, transparent and ethical governance practices.

As trustees of the Company's shareholders, the Company relentlessly endeavours to enhance the shareholder wealth while sparing no effort to deliver long-term value to all stakeholders.

The Board has a formal schedule of matters reserved for its consideration and decision which includes review of the periodic financial performance and action plans for the subsequent quarters. To enable better and more focussed attention on the affairs of the Company, the Board delegates particular matters to Committees set up for the purpose. The six core Committees constituted by the Board in this connection are :

- Committee of Directors
- Audit Committee
- Asset-Liability Management Committee
- Credit Committee
- Nomination & Compensation Committee
- Risk Management Committee

Seven (7) Board Meetings were held during the financial year 2007-08 on 26/04/2007, 04/05/2007, 11/09/2007, 10/10/2007, 22/10/2007, 22/01/2008 & 06/03/2008.

The details of Committee Meetings held during the year under review are furnished below :

Name of the Committee	Date(s) of Meeting
Debenture Allotment Committee*	26/04/2007, 14/05/2007, 07/06/2007, 25/06/2007, 07/08/2007 & 13/08/2007
Committee of Directors	27/11/2007, 10/12/2007, 18/12/2007, 10/01/2008, 30/01/2008, 21/02/2008, 04/03/2008 & 14/03/2008
Audit Committee	26/04/2007, 22/10/2007 & 22/01/2008
Asset-Liability Management Committee	12/04/2007, 24/05/2007, 24/07/2007, 24/10/2007 & 18/03/2008
Credit Committee	09/01/2008

* The Debenture Allotment Committee was re-christened and re-constituted as Committee of Directors by the Board at its Meeting held on 22/10/2007.

(10) AUDIT COMMITTEE

The Audit Committee consists of Mr. Y. M. Deosthalee, Mr. R. Shankar Raman, and Mr. S. Raghavan.

The role, terms of reference, authority and powers of the Audit Committee are in conformity with Section 292(A) of the Companies Act, 1956. The Audit Committee met three times during the year.

(11) DIRECTORS

Pursuant to the provisions of the Companies Act, 1956 and Articles of Association of the Company, Mr. N. Sivaraman and Mr. S. Raghavan, Directors of your Company, retire by rotation at the ensuing Annual General Meeting and being eligible, have offered themselves for re-appointment.

(12) AUDITORS

M/s. Sharp & Tannan, Chartered Accountants, retire at the conclusion of the ensuing Annual General Meeting and have expressed their willingness to continue as Auditors, if re-appointed. The Board commends re-appointment of the firm as Statutory Auditors.

(13) HUMAN RESOURCE DEVELOPMENT

Your Company's HR policies and processes are aligned to effectively drive its expanding business and forays into emerging opportunities. The Company plans to achieve this by continuously investing in learning and development programs, creating a compelling work environment, empowering employees at all levels and maintaining well-structured reward and recognition mechanisms. Your Company's recruitment practices ensures that suitable candidates with merit are recruited and provided with the right opportunities.

Your Company believes in talent acquisition and retention, to augment its plan of making its presence more prominent in the industry. The Company has developed a HRD Plan with the parameters to achieve excellent results and steps have been taken to create a sense of belongingness in the minds of the employees, which in turn gives maximum contribution per employee while gearing them to face the challenges in the competitive business environment and achieve the desired goals.

(14) PARTICULARS OF EMPLOYEES

The information as required under Section 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of Employees) Rules, 1975, as amended, are given in the Annexure forming part of this report.

(15) CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, RESEARCH & DEVELOPMENT AND FOREIGN EXCHANGE EARNINGS AND OUTGO

Since your Company does not own any manufacturing facility, statement giving details of conservation of energy and technology absorption in accordance with the Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988, are not applicable.

During the year under review, your Company did not have any foreign exchange inflow. There has been foreign exchange outgo to the extent of Rs. 410.39 lakh, towards interest and other matters.

(16) DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to Section 217(2AA) of the Companies Act, 1956, the Directors, based on the representations received from the Operating Management, and after due enquiry, confirm that :

1. In the preparation of the annual accounts, the applicable accounting standards have been followed and there has been no material departure;
2. The Directors have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of your Company at the end of the financial year and of the profit or loss of your Company for that year;
3. The Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of your Company and for preventing and detecting fraud and other irregularities; and
4. The Directors have prepared the annual accounts on a going concern basis.

(17) AUDITORS' REPORT

The Auditors' Report is unqualified. The notes to the Accounts referred to in the Auditors' Report are self-explanatory and therefore do not call for any further clarifications under Section 217(3) of the Companies Act, 1956.

(18) MATERIAL CHANGES, IF ANY, BETWEEN BALANCE SHEET DATE AND DATE OF DIRECTORS' REPORT

Mr. A. N. Mani has stepped down as Manager of the Company w.e.f. April 01, 2008. The Board of Directors at its Meeting held on April 7, 2008, approved appointment of Mr. V. Rajagopalan as Manager of the Company for a period of 5 years w.e.f. April 24, 2008, subject to the approval of the Shareholders.

(19) SUBSIDIARY COMPANIES

During the year under review, your Company incorporated a subsidiary company by name L&T General Insurance Company Limited (LTGIC) for undertaking General Insurance Business. The Certificate of Incorporation and Certificate of Commencement of Business of LTGIC were obtained on 27/12/2007 & 09/01/2008, respectively. Making a foray in to the General Insurance Business would help broaden and strengthen the basket of value added products and services that your organization can offer to its various customers. LTGIC is yet to apply to the Insurance Regulatory & Development Authority (IRDA), for obtaining licence to carry-on the general insurance business.

As required under Section 212 of the Companies Act, 1956, the Audited Balance Sheets and Profit & Loss Account of L&T Capital Company Limited and L&T General Insurance Company Limited for the financial year / period ended March 31, 2008, along with the reports of the Auditors and Directors thereon are annexed and form part of this Report.

(20) NEW INITIATIVES

In order to leverage the existing retail customer base and widen the range of service offerings to its customers, your Company started marketing and distribution of various third party products, including insurance and mutual funds products. Reserve Bank of India vide letter dated February 14, 2008, granted approval for distribution of mutual fund products by the Company. Your Company has been enrolled as AMFI Registered Mutual Fund Advisor (ARMFA) and was assigned AMFI Registration No. ARN-56817 by the Association of Mutual Funds in India on January 16, 2008.

(21) RESERVE BANK OF INDIA (RBI) GUIDELINES

The Company continues to comply with all the requirements prescribed by the Reserve Bank of India, as applicable to it.

(22) ACKNOWLEDGEMENT

Your Directors would like to express their grateful appreciation for the assistance, support and co-operation received from the Reserve Bank of India and other Regulatory / Government Authorities, Financial Institutions, Mutual Funds, Pension / Provident Funds, Banks, Clients and others associated with the activities of the Company.

Your Directors are happy to place on record their gratitude to the employees at all levels for their commitment and dedicated efforts to the growth and success of the Company. Your Directors are also thankful to the shareholders for their continued support to the Company.

For and on behalf of the Board

Place : Mumbai
Date : April 29, 2008

Y. M. DEOSTHALEE *Director*

N. SIVARAMAN *Director*

ANNEXURE TO THE DIRECTOR'S REPORT

Information under Section 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of Employees) Rules, 1975 and forming part of the Directors' Report for the year ended March 31, 2008.

(a) Employed throughout the financial year and in receipt of remuneration exceeding Rs. 24 lakh p.a.

Sr. No.	Name	Age (years)	Designation	Gross Remuneration	Qualification	Experience (years)	Date of Joining	Previous Employment
1.	Mr. A. N. Mani*	52	Head - Corporate Centre, Financial Services	29,30,242	B.Com, ACA, AICWA	28.6	01/10/1995	Larsen & Toubro Limited
2.	Suresh Vishwanathan	51	Vice President - Audit & Compliances	24,81,646	BA, CAIIB	29.8	01/08/1996	Forge Investments Limited

***** Resigned as "Manager" (pursuant to section 269(1) of the Companies Act, 1956) w.e.f. April 01, 2008.

(b) Employed for part of the financial year and in receipt of remuneration of not less than Rs. 2 lakh p.m.

Sr. No.	Name	Age (years)	Designation	Gross Remuneration	Qualification	Experience (years)	Date of Joining	Previous Employment
1.	Mr. Dinanath M. Dubhashi	41	Vice President - Retail Finance & Distribution	25,01,242	BE(Mech), PGDBM (IIM Bangalore)	18.1	19/04/2007	BNP Paribas

Notes :

(1) The Gross Remuneration shown above is subject to tax and comprises salary, allowances, performance linked reward, taxable value of perquisites, and Company's contribution to Provident Fund and Superannuation Fund.

(2) All appointments are contractual and terminable by notice on either side.

(3) None of the above employees hold any shares in the Company and is related to any of the Directors of the Company.

AUDITOR'S REPORT

We have audited the attached Balance Sheet of L&T FINANCE LIMITED as at March 31, 2008, the Profit and Loss Account and the Cash Flow Statement for the year ended on that date, annexed thereto. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in India. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In accordance with the provisions of Section 227 of the Companies Act, 1956, we report that:

1. As required by the Companies (Auditor's Report) Order, 2003 and as amended by the Companies (Auditor's Report) (Amendment) Order, 2004 ('the Order') issued by the Central Government of India in terms of Section 227(4A) of the Companies Act, 1956, we enclose in the Annexure, a statement on the matters specified in paragraphs 4 and 5 of the said Order.
2. Further to our comments in the Annexure referred to above, we report that:
   (a) we have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;
   (b) in our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books;
   (c) the Balance Sheet and the Profit and Loss Account and the Cash Flow Statement dealt with by this report are in agreement with the books of account;
   (d) in our opinion, the Profit and Loss Account, the Balance Sheet and the Cash Flow Statement dealt with by this report comply with the accounting standards referred to in Section 211(3C) of the Companies Act, 1956.
   (e) on the basis of the written representations received from directors of the Company as at March 31, 2008 and taken on record by the Board of Directors, we report that none of the directors is disqualified as on March 31, 2008 from being appointed as a director in terms of Section 274(1)(g) of the Companies Act,1956; and
   (f) in our opinion and to the best of our information and according to the explanations given to us, the said accounts read together with the Significant Accounting Policies in Schedule '13' and the Notes on Accounts in Schedule '14' appearing thereon, give the information required by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:
      (i) in the case of the Balance Sheet, of the state of affairs of the Company as at March 31, 2008;
      (ii) in the case of the Profit and Loss Account, of the profit for the year ended on that date; and
      (iii) in the case of the Cash Flow Statement, of the cash flows for the year ended on that date.

SHARP & TANNAN
Chartered Accountants
by the hand of

MILIND P. PHADKE
Partner
Membership No. 33013

Place : Mumbai,
Date : April 29, 2008

ANNEXURE TO THE AUDITORS' REPORT

(Referred to in paragraph 1 of our report of even date)

1. (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
   (b) In respect of owned assets as explained to us, all fixed assets have been physically verified by the management during the year. In respect of leased assets the company has formulated a programme of physical verification of all the fixed assets over a period of three years which in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.
   (c) The Company has not disposed of any substantial part of its fixed assets during the year so as to affect its going concern status.
2. The Company is a non-banking finance company and does not hold any inventories. Accordingly, reporting on paragraph 4(ii)(a), (b) and (c) of the Order is not applicable.
3. According to the information and explanations given to us, Company has neither granted nor taken any loans, secured or unsecured, to companies, firms or other parties covered in the register maintained under Section 301 of the Companies Act, 1956. Accordingly reporting on paragraph 4(iii)(b), (c), (d), (f) and (g) of the Order is not applicable.

4. In our opinion and according to the information and explanations given to us, there is an adequate internal control system commensurate with the size of the Company and the nature of its business for the purchase of fixed assets and for services rendered. We have neither come across nor have been informed of any continuing failure to correct major weaknesses in internal control system.

5. (a) According to the information and explanations given to us, we are of the opinion that there are no contracts or arrangements that need to be entered in to the register maintained under Section 301 of Companies Act, 1956 have been so entered.

   (b) In our opinion and according to the information and explanations given to us, the transactions made in pursuance of such contracts or arrangements entered in the register maintained under Section 301 of the Companies Act, 1956 and exceeding the value of rupees five lakhs in respect of any party during the year, have been made at prices which are reasonable having regards to the prevailing market prices at the relevant time.

6. The Company has accepted deposits from the public and in our opinion and according to the information and explanations given to us, the directives issued by the Reserve Bank of India and the provisions of Sections 58A, 58AA and other relevant provisions of the Companies Act,1956 and the rules framed thereunder, where applicable, have been complied with. We are informed that no order has been passed by the Company Law Board or National Company Law Tribunal or Reserve Bank of India or any court or any other tribunal.

7. The Company is having internal audit system commensurate with the size of the Company and the nature of its business.

8. According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under Section 209(1)(d) of the Companies Act, 1956.

9. (a) According to the information and explanations given to us, the Company is regular in depositing undisputed statutory dues including Provident Fund, Investor Education and Protection Fund, Income Tax, Sales Tax, Wealth Tax, Service Tax, Cess and other statutory dues as applicable with the appropriate authorities. According to the information and explanations given to us, there are no arrears of outstanding statutory dues as at the last day of the financial year for a period exceeding six months from the date they became payable.

   (b) According to the information and explanations given to us, the Company have no dues of Wealth Tax, Service Tax, Excise Duty, Custom Duty, Cess which have not been deposited with the appropriate authorities on account of dispute. However, with respect to Income Tax and Sales Tax demands amounting to Rs. 113,097,716 and Rs. 41,406,331 respectively are in appeals with various forum / authorities.

10. The Company has no accumulated losses as at March 31, 2008 and it has not incurred any cash losses in the financial year ended on that date and in the immediately preceding financial year.

11. According to the records of the Company examined by us and the information and explanation given to us, the Company has not defaulted in repayment of dues to any financial institution or bank or debenture holders as at the Balance Sheet date.

12. According to the information and explanations given to us, the Company has granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.

13. The provisions of any special statute applicable to chit fund / nidhi / mutual benefit fund / societies are not applicable to the Company.

14. The Company is dealing and trading in shares, securities, debentures and other investments. The Company has maintained proper records of the transactions and contracts and timely entries have been made therein and the shares, securities, debentures and other investments have been held by the Company, in its own name.

15. The Company has not given any guarantee for loans taken by others from bank or financial institutions. Accordingly, reporting on paragraph 4(xv) of the Order is not applicable.

16. In our opinion and according to the information and explanations given to us, on an overall basis, the term loans have been applied for the purposes for which they were obtained.

17. According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, we report that no funds raised on short-term basis have been used for long-term investments.

18. The Company has not made any preferential allotment of shares during the year. Accordingly, reporting on paragraph 4(xviii) of the Order is not applicable.

19. According to the information and explanations given to us and records examined by us, at the year end 6100 debentures of Rs. 1,000,000 each and 337 debentures of Rs. 10,000,000 each were outstanding. The security in respect of 3100 debentures of Rs. 1,000,000 each is being created.

20. The Company has not raised any money by public issues during the year. Accordingly, reporting on paragraph 4(xx) of the Order is not applicable.

21. During the course of our examination of the books and records of the Company, carried out in accordance with generally accepted auditing practices in India, and according to information and explanations given to us, we have neither come across any fraud on or by the Company noticed or reported during the year, nor have we been informed of such case by management.

SHARP & TANNAN
Chartered Accountants
by the hand of

MILIND P. PHADKE
Partner
Membership No. 33013

Place : Mumbai,
Date : April 29, 2008

BALANCE SHEET AS AT MARCH 31, 2008

	Schedules	31.03.2008 Rupees	31.03.2008 Rupees	*31.03.2007 Rupees*	*31.03.2007 Rupees*
SOURCES OF FUNDS					
Shareholders' Funds					
Share Capital	**1**	**1,866,915,000**		*1,241,915,000*	
Reserves and Surplus	**2**	**5,349,365,059**		*2,535,235,824*	
			7,216,280,059		*3,777,150,824*
Loan Funds					
Secured Loans	**3**	**23,242,408,131**		*12,092,788,839*	
Unsecured Loans	**4**	**17,187,709,085**		*13,350,398,677*	
			40,430,117,216		*25,443,187,516*
Deferred Tax Liabilities			**286,300,000**		–
Total			**47,932,697,275**		*29,220,338,340*
APPLICATION OF FUNDS					
Fixed Assets					
Gross Block	**5**	**5,116,753,593**		*4,145,658,545*	
Less : Depreciation and Amortisation		**1,243,527,806**		*737,689,186*	
Net Block		**3,873,225,787**		*3,407,969,359*	
Capital work-in-progress		**140,345,892**		*302,699,801*	
			4,013,571,679		*3,710,669,160*
Investments	**6**		**366,677,974**		*457,190,849*
Deferred Tax Assets			**33,890,000**		–
Current Assets, Loans and Advances	**7**				
Current Assets					
Stock-on-Hire		**1,603,786**		*10,843,006*	
Sundry Debtors		**1,120,680,995**		*594,675,613*	
Cash and Bank Balances		**293,477,836**		*298,553,984*	
Other Current Assets		**213,683,686**		*76,026,614*	
Loans and Advances		**45,396,897,744**		*25,819,394,538*	
		47,026,344,047		*26,799,493,755*	
Less: Current Liabilities and Provisions	**8**				
Liabilities		**3,072,224,242**		*1,594,432,148*	
Provisions		**435,562,183**		*152,583,276*	
		3,507,786,425		*1,747,015,424*	
Net Current Assets			**43,518,557,622**		*25,052,478,331*
Total			**47,932,697,275**		*29,220,338,340*
SIGNIFICANT ACCOUNTING POLICIES	**13**				
NOTES FORMING PART OF ACCOUNTS	**14**				
BALANCE SHEET ABSTRACT & COMPANY'S GENERAL BUSINESS PROFILE	**15**				

The schedules referred to above and the notes attached form an integral part of the financial statements.

As per our report attached
SHARP & TANNAN
Chartered Accountants
by the hand of

For and on behalf of the Board

MILIND P. PHADKE	**V. RAJAGOPALAN**	**S. KRISHNA KUMAR**	**Y. M. DEOSTHALEE**	**N. SIVARAMAN**
Partner	*Manager*	*Company Secretary*	*Director*	*Director*
Membership No. 33013				
Place : Mumbai	*Place : Mumbai*			
Date : April 29, 2008	*Date : April 29, 2008*			

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED MARCH 31, 2008

	Schedules	2007-08 Rupees	*2006-07 Rupees*
INCOME			
Income from operations	**9**	**6,060,619,125**	*2,753,758,601*
Total		**6,060,619,125**	*2,753,758,601*
EXPENDITURE			
Personnel Expenses	**10**	**186,527,354**	*84,726,827*
Administration and Other Expenses	**11**	**361,253,743**	*208,722,402*
Interest and Other Finance Charges	**12**	**3,363,408,438**	*1,355,945,513*
Depreciation and Amortisation		**535,910,355**	*332,157,516*
Total		**4,447,099,890**	*1,981,552,258*
Profit before taxes		**1,613,519,235**	*772,206,343*
Provision for taxes		**418,300,000**	*143,400,000*
Provision for deferred tax		**41,400,000**	–
Provision for fringe benefit tax		**3,680,000**	*2,661,000*
Profit after taxes		**1,150,139,235**	*626,145,343*
Balance brought forward		**180,080,322**	*39,934,979*
Profit available for appropriation		**1,330,219,557**	*666,080,322*
Appropriations :			
Transfer to Reserve u/s. 45-IC of RBI Act,1934		**231,000,000**	*126,000,000*
Transfer to General Reserve		**–**	*360,000,000*
Balance carried to Balance Sheet		**1,099,219,557**	*180,080,322*
Earnings Per Share (Basic and Diluted)	**See Note No. M(iii)**	**6.40**	*5.39*
Nominal value per Equity Share		**10.00**	*10.00*
SIGNIFICANT ACCOUNTING POLICIES	**13**		
NOTES FORMING PART OF ACCOUNTS	**14**		
BALANCE SHEET ABSTRACT & COMPANY'S GENERAL BUSINESS PROFILE	**15**		

The schedules referred to above and the notes attached form an integral part of the financial statements.

As per our report attached
SHARP & TANNAN
Chartered Accountants
by the hand of

For and on behalf of the Board

MILIND P. PHADKE	**V. RAJAGOPALAN**	**S. KRISHNA KUMAR**	**Y. M. DEOSTHALEE**	**N. SIVARAMAN**
Partner	*Manager*	*Company Secretary*	*Director*	*Director*
Membership No. 33013				
Place : Mumbai	*Place : Mumbai*			
Date : April 29, 2008	*Date : April 29, 2008*			

CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31, 2008

		2007-08 Rupees	*2006-07 Rupees*
A.	**Cash flow from Operating Activities**		
	Profit before tax as per Profit and Loss Account	**1,613,519,235**	*772,206,343*
	Adjustment for		
	Depreciation	**535,910,355**	*332,157,516*
	(Profit) / Loss on sale of investments (net)	**(14,757,833)**	*(70,950,273)*
	(Profit) / Loss on sale of fixed assets	**(2,254,138)**	*(2,895,964)*
	Interest and dividend received on investments	**(88,194,838)**	*(15,380,744)*
	Provision for leave encashment	**4,031,556**	*1,233,855*
	Provision for diminution in value of investments	**(21,457,820)**	*21,392,650*
	Provision for non performing assets / write-offs	**60,527,502**	*18,123,437*
	Operating profit before Working Capital changes	**2,087,324,019**	*1,055,886,820*
	Adjustment for		
	(Increase) / Decrease in net stock on hire	**9,239,220**	*30,681,026*
	(Increase) / Decrease in trade and other receivables and advances	**(20,301,693,162)**	*(14,811,036,379)*
	Increase / (Decrease) in trade and other payables	**1,756,739,445**	*797,755,540*
	Cash generated from Operations	**(16,448,390,478)**	*(12,926,712,993)*
	Direct taxes paid	**(421,980,000)**	*(146,061,000)*
	Net cash flow from Operating Activities (A)	**(16,870,370,478)**	*(13,072,773,993)*
B.	**Cash flows from Investing Activities**		
	Purchase of fixed assets (including capital work in progress)	**(885,687,263)**	*(1,882,134,294)*
	Proceeds / Adjustments from sale of fixed assets	**49,128,525**	*74,153,650*
	Purchase of shares of subsidiaries and associate company	**(130,500,000)**	-
	Purchase of investments	**(160,826,680,160)**	*(32,833,497,241)*
	Sale of investments	**161,083,908,690**	*32,541,975,819*
	Interest or dividend received on investments	**88,194,838**	*15,380,744*
	Net cash from Investing Activities (B)	**(621,635,370)**	*(2,084,121,322)*
C.	**Cash / flows from Financing Activities**		
	Increase / (Decrease) in secured loans	**11,149,619,292**	*6,305,758,160*
	Increase / (Decrease) in unsecured loans	**3,837,310,408**	*7,831,901,439*
	Proceeds from issue of share capital including securities premium	**2,500,000,000**	*1,000,000,000*
	Net cash generated (used in) / from Financing Activities (C)	**17,486,929,700**	*15,137,659,599*
	Net cash increase /(decrease) in Cash and Cash Equivalents (A+B+C)	**(5,076,148)**	*(19,235,716)*
	Cash and Cash Equivalents as at beginning of the year	**298,553,984**	*317,789,700*
	Cash and Cash Equivalents as at end of the year	**293,477,836**	*298,553,984*

Notes:

1) Cash flow statement has been prepared under indirect method as set out in the Accounting Standard (AS) 3 Cash Flow Statements.
2) Purchase of fixed assets includes movements of capital work in progress between the beginning and end of the year.
3) Cash and cash equivalents represent cash and bank balances.

As per our report attached
SHARP & TANNAN
Chartered Accountants
by the hand of

For and on behalf of the Board

MILIND P. PHADKE	**V. RAJAGOPALAN**	**S. KRISHNA KUMAR**	**Y. M. DEOSTHALEE**	**N. SIVARAMAN**
Partner	*Manager*	*Company Secretary*	*Director*	*Director*
Membership No. 33013				
Place : Mumbai	*Place : Mumbai*			
Date : April 29, 2008	*Date : April 29, 2008*			

SCHEDULES FORMING PART OF ACCOUNTS

	31.03.2008		*31.03.2007*	
	Rupees	**Rupees**	*Rupees*	*Rupees*
SCHEDULE - 1				
SHARE CAPITAL				
AUTHORISED				
190,000,000 Equity Shares of Rs. 10 each. *(Previous year 175,000,000 Equity Shares of Rs. 10 each)*		**1,900,000,000**		*1,750,000,000*
		1,900,000,000		*1,750,000,000*
ISSUED AND SUBSCRIBED				
186,691,500 Equity Shares of Rs. 10 each fully paid-up *(Previous year 124,191,500 Equity Shares of Rs. 10 each)*		**1,866,915,000**		*1,241,915,000*
Of the above: 26,691,500 Equity Shares are allotted as fully paid up for a consideration other than cash consequent on amalgamation				
186,691,500 *(Previous year 124,191,500)* Equity Shares are held by Larsen & Toubro Limited, the holding company				
TOTAL		**1,866,915,000**		*1,241,915,000*
SCHEDULE - 2				
RESERVES AND SURPLUS				
Reserve u/s. 45-IC of RBI Act, 1934				
As per last Balance Sheet	**362,489,145**		*236,489,145*	
Add : Transferred from Profit and Loss Account	**231,000,000**		*126,000,000*	
		593,489,145		*362,489,145*
GENERAL RESERVE				
As per last Balance Sheet	**859,441,357**		*499,441,357*	
Add : Deferred tax assets as at 1.4.2007	**11,590,000**		–	
Less : Deferred tax liabilities as at 1.4.2007	**222,600,000**		–	
Add : Transferred from Profit and Loss Account	**–**		*360,000,000*	
		648,431,357		*859,441,357*
Capital Redemption Reserve		**8,225,000**		*8,225,000*
SECURITIES PREMIUM ACCOUNT				
As per last Balance Sheet	**1,125,000,000**		*375,000,000*	
Add : Received during the year	**1,875,000,000**		*750,000,000*	
		3,000,000,000		*1,125,000,000*
Profit and Loss Account		**1,099,219,557**		*180,080,322*
TOTAL		**5,349,365,059**		*2,535,235,824*

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	31.03.2008 Rupees	*31.03.2007 Rupees*
SCHEDULE - 3		
SECURED LOANS		
Secured Redeemable Non Convertible Debentures	**9,470,000,000**	*5,470,000,000*
From Banks		
Term loan	**12,567,500,000**	*4,690,000,000*
Foreign currency loan	**504,908,131**	*1,032,788,839*
Others	**700,000,000**	*900,000,000*
TOTAL	**23,242,408,131**	*12,092,788,839*
SCHEDULE - 4		
UNSECURED LOANS		
Loans and advances from subsidiary	**77,500,000**	*96,500,000*
Short term loans and advances		
From Banks		
Short term loans	**6,709,999,312**	*2,449,999,312*
Commercial papers	**9,000,000,000**	*7,600,000,000*
From Others		
Non Convertible Debentures	**1,000,000,000**	*1,950,000,000*
Others	**400,000,000**	*1,253,176,864*
Other loans and advances		
Lease finance	**209,773**	*722,501*
TOTAL	**17,187,709,085**	*13,350,398,677*

SCHEDULE - 5

FIXED ASSETS

FIXED ASSETS	**GROSS BLOCK (at cost)**				**DEPRECIATION / AMORTISATION**				**NET BLOCK**	
	As at 01.04.2007 Rupees	Additions Rupees	Sale / Adjustment Rupees	**As at 31.03.2008 Rupees**	*Upto 31.03.2007 Rupees*	For the year Rupees	Deduction / Adjustment Rupees	**Upto 31.03.2008 Rupees**	**As at 31.03.2008 Rupees**	*As at 31.03.2007 Rupees*
Tangible Assets										
Owned Assets										
Building	369,769,203	-	-	**369,769,203**	32,472,222	6,027,239	-	**38,499,461**	**331,269,742**	*337,296,981*
Plant & machinery	2,293,789,498	680,062,520	358,650	**2,973,493,368**	378,601,229	249,373,991	319,097	**627,656,123**	**2,345,837,245**	*1,915,188,269*
Furniture & fixtures	11,726,885	5,023,358	-	**16,750,243**	1,922,585	915,826	-	**2,838,411**	**13,911,832**	*9,804,300*
Motor car	946,098,536	138,633,483	70,187,200	**1,014,544,819**	226,170,652	151,340,064	25,970,085	**351,540,631**	**663,004,188**	*719,927,884*
Vehicles	121,000,178	904,240	-	**121,904,418**	46,322,705	17,098,350	-	**63,421,055**	**58,483,363**	*74,677,473*
Computers	388,396,563	199,937,887	3,141,455	**585,192,995**	43,889,307	103,365,406	997,764	**146,256,949**	**438,936,046**	*344,507,256*
(A)	**4,130,780,863**	**1,024,561,488**	**73,687,305**	**5,081,655,046**	**729,378,700**	**528,120,876**	**27,286,946**	**1,230,212,630**	**3,851,442,416**	*3,401,402,163*
Assets taken on lease										
Vehicles	4,000,100	-	3,258,819	**741,281**	2,820,523	434,235	2,784,789	**469,969**	**271,312**	*1,179,577*
(B)	**4,000,100**	**-**	**3,258,819**	**741,281**	**2,820,523**	**434,235**	**2,784,789**	**469,969**	**271,312**	*1,179,577*
(C) = (A) + (B)	**4,134,780,963**	**1,024,561,488**	**76,946,124**	**5,082,396,327**	**732,199,223**	**528,555,111**	**30,071,735**	**1,230,682,599**	**3,851,713,728**	*3,402,581,740*
Intangible Assets										
Owned Assets										
Specialised software	10,877,582	23,479,684	-	**34,357,266**	5,489,963	7,355,244	-	**12,845,207**	**21,512,059**	*5,387,619*
(D)	10,877,582	23,479,684	-	**34,357,266**	5,489,963	7,355,244	-	**12,845,207**	**21,512,059**	*5,387,619*
(C) + (D)	**4,145,658,545**	**1,048,041,172**	**76,946,124**	**5,116,753,593**	**737,689,186**	**535,910,355**	**30,071,735**	**1,243,527,806**	**3,873,225,787**	
Previous year	*2,416,282,449*	*1,815,510,676*	*86,134,580*	*4,145,658,545*	*420,408,563*	*332,157,516*	*14,876,893*	*737,689,186*		*3,407,969,359*
Add : Capital work-in-progress									**140,345,892**	*302,699,801*
									4,013,571,679	*3,710,669,160*

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	31.03.2008		*31.03.2007*	
	Rupees	**Rupees**	*Rupees*	*Rupees*
SCHEDULE - 6				
INVESTMENTS				
At cost				
Long term investments				
Government Securities	**4,000**		*4,000*	
Fully paid equity shares	**215,499,970**		*84,999,970*	
		215,503,970		*85,003,970*
Current investments				
Fully paid equity shares	**6,159,000**		*198,629,695*	
Mutual funds	**150,000,000**		*200,000,000*	
Others	**1,000**		*1,000*	
		156,160,000		*398,630,695*
		371,663,970		*483,634,665*
Less: Provision for diminution in value of investments		**4,985,996**		*26,443,816*
TOTAL		**366,677,974**		*457,190,849*
Note :				
Quoted investments				
Book value		**151,173,000**		*393,643,695*
Market value		**152,044,992**		*372,492,718*
Unquoted Investments				
Book value		**215,504,974**		*63,547,154*
Particulars of investments:				
Long term investments				
Government Securities				
12% National Saving Certificate 2002 (Deposited as security with sales tax authorities)		**4,000**		*4,000*
TOTAL (A)		**4,000**		*4,000*
Fully paid equity shares				
Subsidiary Company				
L&T Capital Company Limited		**169,999,970**		*54,999,970*
16,999,997 shares of Rs. 10 each (11,500,000 shares subscribed during the year)				
L&T General Insurance Company Limited		**500,000**		–
50,000 shares of Rs. 10 each				
(Subscribed during the year)				
		170,499,970		*54,999,970*
ASSOCIATE COMPANY:				
NAC Infrastructure Equipment Limited		**45,000,000**		*30,000,000*
4,500,000 shares of Rs. 10 each				
(1,500,000 shares subscribed during the year)				
		45,000,000		*30,000,000*
TOTAL (B)		**215,499,970**		*84,999,970*
Current investments				
Fully paid equity shares				
Metropoli Overseas Ltd. (99,400 shares of Rs. 10 each)		**1,491,000**		*1,491,000*
Anil Chemicals and Industries Ltd. (40,000 shares of Rs. 10 each)		**800,000**		*800,000*

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	31.03.2008 Rupees	*31.03.2007 Rupees*
Elque Polyesters Ltd. (1,94,300 shares of Rs. 10 each)	**1,943,000**	*1,943,000*
Monnet Industries Ltd. (18,800 shares of Rs. 10 each)	**752,000**	*752,000*
ICNET Ltd (3,83,334 shares of Rs. 10 each)	**1,173,000**	*1,173,000*
Sold during the year :		
ACC Ltd. (24,500 shares of Rs. 10 each)	**–**	*23,151,355*
Areva T&D India Ltd. (5,963 shares of Rs. 10 each)	**–**	*6,586,524*
Bharat Forge Ltd. (6,000 shares of Rs. 2 each)	**–**	*2,026,236*
Crompton Greaves Ltd. (10,000 shares of Rs. 2 each)	**–**	*2,015,740*
Gujarat Ambuja Cements Ltd. (140,015 shares of Rs. 2 each)	**–**	*18,147,867*
Hindalco Industries Ltd. (50,000 shares of Rs. 1 each)	**–**	*7,459,990*
Hindustan Zinc Ltd. (14,990 shares of Rs. 10 each)	**–**	*10,829,013*
Infosys Technologies Ltd. (7,000 shares of Rs. 5 each)	**–**	*15,030,009*
ITC Ltd. (50,000 shares of Rs. 1 each)	**–**	*9,091,409*
Jaiprakash Associates Ltd. (22,000 shares of Rs. 10 each)	**–**	*12,761,690*
Mahindra & Mahindra Ltd. (18,726 shares of Rs. 10 each)	**–**	*15,103,215*
Maruti Udyog Ltd. (20,000 shares of Rs. 5 each)	**–**	*17,968,908*
Ranbaxy Laboratories Ltd. (8,600 shares of Rs. 5 each)	**–**	*3,474,186*
Reliance Communications Ltd. (7,000 shares of Rs. 5 each)	**–**	*3,363,107*
Reliance Industries Ltd. (4,000 shares of Rs. 10 each)	**–**	*5,494,673*
Siemens Ltd. (6,600 shares of Rs. 2 each)	**–**	*7,670,043*
Sterlite Industires (India) Ltd. (17,000 shares of Rs. 2 each)	**–**	*8,404,186*
Tata Motors Ltd. (17,500 shares of Rs. 10 each)	**–**	*14,567,432*
Tata Steel Ltd. (19,500 shares of Rs. 10 each)	**–**	*9,325,112*
TOTAL (C)	**6,159,000**	*198,629,695*
Mutual Funds		
Principal CMF - Liquid Option - Institutional Premium - Daily Dividend (15,001,815.399 Units of Rs. 10 each purchased during the year) (2,000,815.957 Units of Rs. 10 each sold during the year)	**150,000,000**	*20,000,000*
HSBC Cash Fund - Institutional Plus - Daily Dividend (1,80,02,011.573 Units of Rs. 10 each sold during the year)	**–**	*180,000,000*
TOTAL (D)	**150,000,000**	*200,000,000*
OTHERS		
LTFL Securitisation Trust 2002	**1,000**	*1,000*
TOTAL (E)	**1,000**	*1,000*
TOTAL (A+B+C+D+E)	**371,663,970**	*483,634,665*
Less: Provision for diminution in value of investments	**4,985,996**	*26,443,816*
TOTAL	**366,677,974**	*457,190,849*

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

DETAILS OF INVESTMENTS PURCHASED AND SOLD DURING THE YEAR

Money Market Mutual Fund	**Face Value Rs. Per Unit**	**Nos.**	**Cost Rs. Lakh**
AIG India Liquid Fund - Super Institutional - Daily Dividend	1,000	150,000	1,500
AIG India Treasury Plus Fund - Super IP - Daily Dividend	10	50,000,000	5,000
Birla Cash Plus - Institutional Premium Plan - Daily Dividend	10	5,242,000,000	524,200
HDFC Cash Mgmt Fund - Savings Plan - Daily Dividend	10	2,402,500,000	240,250
HSBC Cash Fund - Institutional Plus - Daily Dividend	10	1,771,500,000	177,150
JP Morgan India Liquid Fund - Dividend Plan	10	100,000,000	10,000
Kotak Liquid - IP - Daily Dividend	10	20,000,000	2,000
Principal CMF - Liquid Option - Institutional Premium - Daily Dividend	10	2,702,750,000	270,275
Reliance Liquidity Fund - Dailly Dividend	10	765,750,000	76,575
Standard Chartered Liquidity Manager Fund Plus - Daily Dividend	1,000	11,372,500	113,725
UTI Liquid Fund - Cash Plan - IP - Daily Dividend	1,000	17,837,500	178,375
EQUITY SHARES			
ABB Ltd.	2	5,000	65
ACC Ltd.	10	29,929	290
Areva T & D India Ltd.	10	11,921	216
Automotive Axles Ltd.	10	1,500	8
BEML Ltd.	10	5,012	80
Bharat Forge Ltd.	2	25,000	82
Bharti Airtel Ltd.	10	41,000	368
Bharat Heavy Electricals Ltd.	10	15,415	312
Crompton Greaves Ltd.	2	106,519	327
Gateway Distriparks Ltd.	10	20,000	24
HDFC Bank Ltd.	10	27,446	387
Housing Development & Infrastructure Ltd.	10	9,712	74
Hindustan Zinc Ltd.	10	32,057	221
Hindustan Construction Company Ltd.	1	170,000	332
ICICI Bank Ltd.	10	48,322	545
Infosys Technologies Ltd.	5	14,765	271
Jaiprakash Associates Ltd.	10	96,397	561
Jyoti Ltd.	10	11	0
Jyoti Structures Ltd.	2	10,000	27
Kalpatharu Power Transmission Ltd.	10	1,613	25
Kotak Mahindra Bank Ltd.	10	41,330	418
Mahindra & Mahindra Ltd.	10	7,500	57
MARG Construction Ltd.	10	4,750	11
Maruti Udyog Ltd.	5	11,400	106
Nagarjuna Construction Company Ltd.	2	86,521	254
New Delhi Television Ltd.	4	5,000	17
National Thermal Power Corporation Ltd.	10	95,000	243
Oil and Natural Gas Corporation Ltd.	10	13,000	145
Punj Lloyd Ltd.	2	61,500	277
Reliance Industries Ltd.	10	11,250	261
Reliance Communication Ltd.	5	62,800	391
Reliance Capital Ltd.	10	10,750	177
Reliance Energy Ltd.	10	18,000	209
State Bank of India	10	33,000	501
Siemens Ltd.	2	10,000	152
Sterlite Industries Ltd.	2	82,086	647
Tata Motors Ltd.	10	8,000	60
Tata Steel Ltd.	10	57,000	396
Tata Power Ltd.	10	17,000	218
Tata Consultancy Services Ltd.	1	15,500	182
Thermax Ltd.	2	26,887	182
AXIS Bank Ltd. (formerly UTI Bank Ltd.)	10	58,976	437
Unitech Ltd.	2	10,000	49
Wipro Ltd.	2	20,682	114

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	31.03.2008		31.03.2007	
	Rupees	**Rupees**	*Rupees*	*Rupees*
SCHEDULE - 7				
CURRENT ASSETS, LOANS AND ADVANCES				
Stock-on-hire		**1,603,786**		*10,843,006*
Sundry Debtors				
Unsecured, considered good				
Debts outstanding for a period exceeding six months	**96,481,015**		*19,391,831*	
Others	**1,024,199,980**		*575,283,782*	
		1,120,680,995		*594,675,613*
Cash and Bank Balances				
Cash in hand	**412,614**		*183,517*	
Balances with Scheduled Banks				
on current account	**291,846,089**		*296,724,654*	
on deposit account (including interest accrued thereon) (pledged with sales tax authorities as security and with banks as margin money against guarantees issued)	**1,219,133**		*1,645,813*	
		293,477,836		*298,553,984*
Other Current Assets				
Interest accrued		**213,683,686**		*76,026,614*
Loans and Advances				
Secured, considered good				
Loans against pledge of shares and securities	**3,189,503,170**		*1,670,964,136*	
Unsecured, considered good				
Bills discounted	**2,309,413,003**		*2,994,094,369*	
Other loans	**37,291,671,949**		*19,338,127,394*	
	39,601,084,952		*22,332,221,763*	
Unsecured, considered doubtful				
Other loans	**354,923,963**		*52,128,764*	
Less: Provision for non-performing assets	**89,169,000**		*6,000,000*	
	265,754,963		*46,128,764*	
Advances towards lease capital assets	**162,678,801**		*51,427,718*	
Advances recoverable in cash or in kind or for value to be received	**2,177,875,858**		*1,718,652,157*	
		45,396,897,744		*25,819,394,538*
TOTAL		**47,026,344,047**		*26,799,493,755*
SCHEDULE - 8				
CURRENT LIABILITIES AND PROVISIONS				
Liabilities				
Sundry creditors				
Micro and small enterprises	**–**		–	
Others	**2,638,048,996**		*1,370,351,510*	
Security deposits	**61,463,276**		*25,882,432*	
Interest accrued but not due	**372,711,970**		*198,198,206*	
		3,072,224,242		*1,594,432,148*
Provisions for				
Taxes	**418,300,000**		*143,400,000*	
Fringe Benefit tax	**3,680,000**		*2,661,000*	
Gratuity	**3,747,845**		*719,494*	
Compensated expenses / Leave encashment	**9,834,338**		*5,802,782*	
		435,562,183		*152,583,276*
TOTAL		**3,507,786,425**		*1,747,015,424*

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	2007-08		*2006-07*	
	Rupees	**Rupees**	*Rupees*	*Rupees*
SCHEDULE - 9				
INCOME FROM OPERATIONS				
Lease and hire purchase		**1,037,394,314**		*702,050,953*
Bills discounting		**347,849,321**		*194,975,484*
Term loan and other financing activities		**4,480,190,527**		*1,663,946,417*
Networking activity		**30,135,343**		*39,906,757*
Income from investments				
- Others		**102,952,671**		*86,331,017*
Other operational income		**62,096,949**		*66,547,973*
TOTAL		**6,060,619,125**		*2,753,758,601*
SCHEDULE - 10				
PERSONNEL EXPENSES				
Salaries		**155,787,771**		*69,970,883*
Contribution to and provision for				
Provident fund and Pension fund	**7,502,703**		*3,736,815*	
Gratuity fund	**3,747,845**		*719,494*	
Superannuation fund	**863,259**		*728,078*	
Compensated expenses / leave encashment	**4,461,606**		*1,789,588*	
		16,575,413		*6,973,975*
Welfare and other expenses		**14,164,170**		*7,781,969*
TOTAL		**186,527,354**		*84,726,827*
SCHEDULE - 11				
ADMINISTRATIVE & OTHER EXPENSES				
Travelling and conveyance		**58,993,550**		*32,391,609*
Printing and stationery		**8,368,718**		*6,069,728*
Telephone, postage and telegrams		**35,243,586**		*25,503,423*
Directors' sitting fees		**44,000**		*34,000*
Brokerage and service charges		**21,568,219**		*8,172,426*
Advertising and publicity		**1,674,995**		*945,848*
Repairs and maintenance - Plant and machinery		**3,924,524**		*95,892*
- Others		**21,456,683**		*12,319,705*
Rent		**17,125,692**		*4,410,360*
Rates and taxes		**7,256,579**		*4,463,911*
Electricity charges		**6,153,075**		*2,369,180*
Insurance		**10,442,522**		*12,024,186*
Auditors remuneration				
Audit fees	**270,000**		*270,000*	
Tax audit fees	**78,000**		*78,000*	
Certification	**81,160**		*210,000*	
Expenses reimbursed	**10,432**		*42,596*	
		439,592		*600,596*
Provision for non-performing assets / write offs		**60,527,502**		*18,123,437*
Provision for diminution in value of investments		**(21,457,820)**		*21,392,650*
Miscellaneous expenses		**129,492,326**		*59,805,451*
TOTAL		**361,253,743**		*208,722,402*
SCHEDULE - 12				
INTEREST AND OTHER FINANCE CHARGES				
Fixed loans		**2,498,747,768**		*943,622,619*
Others		**864,660,670**		*412,322,894*
TOTAL		**3,363,408,438**		*1,355,945,513*

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

SCHEDULE - 13

SIGNIFICANT ACCOUNTING POLICIES

A. Basis of Accounting

The Company maintains its accounts on accrual basis following the historical cost convention in accordance with Generally Accepted Accounting Principles ('GAAP') and in compliance with the Accounting Standards referred to in Section 211(3C) and other requirements of the Companies Act, 1956. Insurance and other claims are accounted for as and when admitted by the appropriate authorities.

The preparation of financial statements in conformity with GAAP requires that the management of the Company makes estimates and assumptions that affects the reported amounts of income and expenses of the period, the reported balances of assets and liabilities and the disclosures relating to contingent liabilities as of the date of the financial statements. Examples of such estimates includes the useful lives of fixed assets, provisions for doubtful debts / advances, future obligations in respect of retirement benefit plans, etc. Actual results could differ from these estimates. Any revisions to accounting estimates is recognised prospectively in the current and future periods. Wherever changes in presentation are made, comparative figures of the previous year are regrouped accordingly.

B. Fixed Assets

Owned assets

Assets held for own use are stated at original cost net of tax / duty credits availed, if any, less accumulated depreciation.

Leased assets

Assets leased under finance lease are stated as Loans and Advances as required by Accounting Standards (AS) 19 Leases.

Assets under operating lease are stated at original cost less accumulated depreciation.

Assets taken on lease

Lease transactions entered into on or after April 1, 2001:

Assets acquired under leases where the company has substantially all the risks and rewards of ownership are classified as finance leases. Such assets are capitalised at the inception of the lease at the lower of the fair value or the present value of minimum lease payments and a liability is created for an equivalent amount. Each lease rental paid is allocated between the liability and the interest cost, so as to obtain a constant periodic rate of interest on the outstanding liability of each period.

Assets acquired on leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Lease rentals are charged to the Profit and Loss Account on accrual basis.

C. Intangible Assets

An Intangible is recognised if, and only if:

a) it is probable that the future economic benefits that are attributable to the asset will flow to the enterprise; and

b) the cost of the asset can be measured reliably.

D. Impairment of assets

As at each Balance Sheet date, the carrying amount of assets is tested for impairment so as to determine:

1. the provision for impairment loss, if any, required; or
2. the reversal, if any, required of impairment loss recognized in previous periods.

Impairment loss, if any, is recognized when the carrying amount of an asset or group of assets, as the case may be, exceeds the recoverable amount.

Recoverable amount is determined:

1. in the case of individual asset, at higher of the net selling price and the value in use;
2. in the case of a cash generating unit (a group of assets that generates identified, independent cash flows), at higher of the cash generating unit's net selling price and the value in use. Value in use is determined as the present value of estimated future cash flows from the continuing use of an asset and from its disposal at the end of its useful life.

E. Investments

Long-term investments are carried at cost, after providing for any diminution in value, if such diminution is of other than temporary in nature.

Current investments are carried at lower of cost or market value. The determination of the carrying costs of such investments is done on the basis of specific identification.

F. Foreign currency transactions, Forward contracts and Derivatives

The reporting currency of the company is the Indian Rupee.

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

Foreign currency transactions are recorded on initial recognition in the reporting currency, using the exchange rate at the date of the transaction. At each Balance Sheet date, foreign currency monetary items are reported using the closing rate. Non-monetary items which are carried at historical cost denominated in a foreign currency are reported using the exchange rate at the date of transaction.

Forward contracts other than those entered into to hedge foreign currency risk on unexecuted firm commitments or of highly probable forecast transactions are treated as foreign currency transactions and accounted accordingly. Exchange differences arising on such contracts are recognised in the period in which they arise and the premium paid / received is accounted as expenses / income over the period of the contract.

Cash flows arising on account of roll over / cancellation of forward contracts are recognised as income / expenses of the period in line with the movement in the underlying exposure.

Derivative contracts are recognized in financial statements and re-measured at fair value (mark to market) as on the Balance Sheet date. Wherever the test of effectiveness of the hedge is met the effective portion of the resultant gain or loss is recognized in the Profit and Loss Account in the period in which the hedged item affects the earnings. All other gains or losses on such contracts are recognized in the Profit & Loss Account immediately.

G. Revenue Recognition

Income from Hire purchase and operating lease transactions are accounted on accrual basis, *pro-rata* for the period, at the rates implicit in the transactions. Processing fees / Management fees, Income from bill discounting, other financing activities, other compensation and Investments are accounted on accrual basis.

Revenue is recognised based on the nature of activity when consideration can be reasonably measured and there exists reasonable certainty of its recovery.

H. The Company complies with the guidelines issued by the Reserve Bank of India in respect of Prudential Norms for Income Recognition and Provisioning for Non-Performing Assets.

I. Employee Benefits

Short Term Employee Benefits

All employee benefits payable wholly within twelve months of rendering the services are classified as short-term employee benefits. Benefits such as salaries, short term compensated absences and expected cost of bonus, ex-gratia are recognized in the period in which the employee renders the related service.

Post Employment Benefits:

Defined Contribution Plans: The Company's Superannuation Scheme and Employee Provident Fund are defined contribution plans. The contribution paid / payable under the scheme is recognized during the period in which the employee renders the related services.

Defined Benefit Plans:

(a) The employees Gratuity Fund Scheme is the company's defined benefit plan. The present value of the obligation under such defined benefit plans is determined based on actuarial valuation using the Projected Unit Credit Method, which recognizes each period of services as giving rise to additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation.

The obligation is measured at the present value of the estimated future cash flows. The discount rates used for determining the present value of the obligation under defined benefit plans, is based on the market yields on Government securities as at the Balance Sheet date, having maturity periods approximating to the terms of related obligations.

Actuarial gains and losses are recognized immediately in the Profit and Loss Account.

In case of funded plans, the fair value of the plan assets is reduced from the gross obligation under the defined benefit plans, to recognize the obligation on net basis.

Gain or losses on the curtailment or settlement of any defined benefit plan are recognized when the curtailment or settlement occurs. Past service cost is recognized as expense on a straight-line basis over the average period until the benefits become vested.

(b) Long Term Employee Benefits: The obligation for long term employee benefits such as long term compensated absences is recognized as defined benefits plans.

J. Borrowing Costs

Borrowing costs that are attributable to the acquisitions, constructions or production of qualifying assets are capitalised as part of the cost of such assets till the time as the asset is ready for its intended use or sale. A qualifying asset is an asset that necessarily requires a substantial period of time to get ready for its intended use or sale.

All other borrowing costs are recognized as an expense in the period in which they are incurred.

K. Depreciation

Owned assets

Depreciation on assets held for own use has been provided on straight-line basis as per Schedule XIV to the Companies Act, 1956, except for computer software. Computer software is depreciated @ 33.33% per annum. These rates are fixed in consonance with the expected useful life

of the assets. Depreciation on assets acquired and given to employees under the hard furnishing scheme has been provided @ 18% per annum on straight line basis, except assets costing Rs. 5,000 or less which are depreciated on straight line basis as per Schedule XIV to the Companies Act,1956.

Assets given on lease

In respect of the assets given on finance lease, Accounting Standards (AS) 19 Leases has been applied. Investment in leased assets is shown under loans and advances duly adjusted for recoveries during the lease period as required under the said Standard.

In respect of assets given on operating lease, depreciation is provided on straight line basis *pro-rata* from the month of acquisition / capitalization at the rates which have been determined on the basis of type of the asset, lease tenor, economic life of the asset, etc. These rates vary from 7% to 20% per annum.

Assets taken on lease

Accounting Standards (AS) 19 Leases has been applied to the assets taken on lease on or after April 1, 2001. These assets have been depreciated over the period of lease for a value net of its residual value implied in the transactions.

L. Taxes on Income

Tax on income for the current period is determined on the basis of taxable income and tax credits computed in accordance with the provisions of the Income-Tax Act,1961, and based on the expected outcome of assessments / appeals.

Deferred tax is recognised on timing differences between the accounting income and the taxable income for the year and quantified using the tax rates and the laws enacted or substantively enacted as on the Balance Sheet date.

Deferred tax assets are recognised and carried forward to the extent that there is a reasonable certainty that sufficient future taxable income will

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

(Rs Lakh)

	Particulars	Amount
8	Other information	
	(i) Gross Non-Performing Assets	
	(a) Related parties	—
	(b) Other than related parties	4,514.05
	(ii) Net Non-Performing Assets	
	(a) Related parties	—
	(b) Other than related parties	3,622.36
	(iii) Assets acquired in satisfaction of debt	1,173.69

U. Sundry creditors include unclaimed matured fixed deposits of **Rs. 10.85 lakh**. There is no amount due and outstanding to be credited to Investor Education and Protection Fund as at March 31, 2008.

V. Previous year figures have been regrouped / reclassified wherever necessary.

Signatures to Schedule 1 to 14

As per our report attached
SHARP & TANNAN
Chartered Accountants
by the hand of

For and on behalf of the Board

MILIND P. PHADKE
Partner
Membership No. 33013

Place : Mumbai
Date : April 29, 2008

V. RAJAGOPALAN
Manager

Place : Mumbai
Date : April 29, 2008

S. KRISHNA KUMAR
Company Secretary

Y. M. DEOSTHALEE
Director

N. SIVARAMAN
Director

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

15. BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE

I. Registration Details

Registration No. 11-83147 State Code 11

Balance Sheet Date 31 03 08 (Date Month Year)

II. Capital raised during the year (Amount in Rs. Thousands)

Public Issue	Rights Issue
NIL	NIL
Bonus Issue	**Private Placement**
NIL	2500000

III. Position of Mobilisation and Deployment of Funds (Amount in Rs. Thousands)

Total Liabilities	Total Assets
47932697	47932697

Sources of Fund

Paid-up Capital	Reserves & Surplus
1866915	5349365
Secured Loans	**Unsecured Loans**
23242408	17187709
Deferred Tax Liabilities	
28630 0	

Application of Funds

Net Fixed Assets and Net Intangible Assets	Investments
4013571	366678
Net Current Assets	**Deferred Tax Assets**
43518558	33890
Miscellaneous Expenditure	**Accumulated Losses**
NIL	NIL

IV. Performance of Company (Amount in Rs. Thousands)

Turnover	Total Expenditure
6060619	4447100
+ − Profit / (Loss) before tax	**+ − Profit / (Loss) after tax**
+ 1613519	+ 1150139

Please tick Appropriate box + for Profit, - for Loss

** Earning per Share in Rs.	Dividend rate %
6.40	00.00

** Annualised

V. Generic Names of Three Principal Products/Services of the Company

(as per monetory terms)

Item Code No. N.A.

(ITC Code)

Product Description
- LOANS
- LEASING / HIRE PURCHASE
- BILLS DISCOUNTING

As per our report attached
SHARP & TANNAN
Chartered Accountants
by the hand of

For and on behalf of the Board

MILIND P. PHADKE
Partner
Membership No. 33013

Place : Mumbai
Date : April 29, 2008

V. RAJAGOPALAN
Manager

Place : Mumbai
Date : April 29, 2008

S. KRISHNA KUMAR
Company Secretary

Y. M. DEOSTHALEE
Director

N. SIVARAMAN
Director

STATEMENT PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956 RELATING TO SUBSIDIARY COMPANIES

Name of the subsidiary company	**L&T Capital Co. Ltd.**	**L&T General Insurance Co. Ltd.**
Financial year of the subsidiary ended on	31st March, 2008	31st March, 2008
Number of shares of the subsidiary company held by L & T Finance Ltd. and / or its nominee at the above date	1,70,00,000	50,000
The net aggregate of profits/(losses) of the subsidiary company so far as it concerns the members of L & T Finance Ltd.		
(i) Dealt with in the accounts of L & T Finance Ltd. amounted to		
a) for the subsidiary's financial year ended 31/03/2008	—	—
b) for the previous years of the subsidiary since it became subsidiary of L & T Finance Ltd.	Rs. 137.49 lakh	—
(ii) Not dealt with in the accounts of L & T Finance Ltd. amounted to:		
a) for the subsidiary's financial year ended 31/03/2008	Rs. 407.78 lakh	Rs. (1.85) lakh **
b) for the previous years of the subsidiary since it became subsidiary of L & T Finance Ltd.	Rs. 435.63 lakh	—

** Preliminary expenses

As per our report attached
SHARP & TANNAN
Chartered Accountants
by the hand of

For and on behalf of the Board

MILIND P. PHADKE
Partner
Membership No. 33013

Place : Mumbai
Date : April 29, 2008

V. RAJAGOPALAN
Manager

Place : Mumbai
Date : April 29, 2008

S. KRISHNA KUMAR
Company Secretary

Y. M. DEOSTHALEE
Director

N. SIVARAMAN
Director